

HSBC (HSBA.L/0005.HK)

Scaled global liquidity engine with cost and capital efficiency upside; reinstate at Buy

HSBC is a global liquidity engine. Across European, Asian and Global peers we believe it presents a near-unique combination of: a) a scaled deposit franchise, b) consistent and structural growth and c) a liquidity focused balance sheet. This capital-light, liability-led growth strategy benefits from structural dynamics underpinning the Deposit and Wealth trends in SE Asia (see: [Riding Asia's liquidity wave; the earnings engine of HK/ SG Banks](#)) as well as elevated global rates.

The Deposit and Wealth focused growth trajectory is coupled with a continued focus on efficiency as well as M&A tailwinds: 1) We forecast Banking NII climbing to c.\$46.4bn in 2026, and c.\$48.9bn in 2028, putting our 2027/28 forecast 2-3% ahead of Visible Alpha Consensus. 2) We expect improvements in cost control in 2026 (+1% y/y costs) to continue into 2027/28 with underlying CIR falling from 47% in 2025 to 45%/44% by 2026/27. 3) The integration of Hang Seng Bank (HSB) should drive c.\$900mn in synergies (management guide to a broadly even split between revenue and cost synergies) as product driven top-line synergies combine with infrastructure and technology optimisation, as well as capital efficiency opportunities.

Looking ahead, we model +4-6% revenue growth pa in 2026/27 (split +3-5% NII, +6-7% Fees), 8-10% PPP growth, with our earnings estimates 4%/5% above consensus for 2026/27. We model ROTE at 17.0% this year, rising to 17.8%/17.7% in 2027/28, which in our view should be supportive of improved valuation (currently trading at c.1.6x P/TBV 12mf consensus). Capital flexibility will also rebuild post the HSB integration, we model buybacks resuming in Q2'26 and model a dividend yield in 2027 of c.5.5%, plus a buyback yield of c.2.5%.

We reinstate on HSBC (HSBA.L/0005.HK) with Buy ratings and 12 month price targets of 1,675p / HK\$162, reflecting this better outlook on both earnings and returns. YTD, HSBC has outperformed our European Banks coverage by c.7%, but has performed broadly in line with our Asian Banks coverage, while maintaining positive earnings revisions (+c.3% for 2026 and 2027), leaving the stock at c.9.5x 2026E PE (12mf consensus, vs its 10-year average of c.10.0x). Risks include: 1) Headwinds in the Middle East business (5% of PBT, 2% of loans); 2) Higher credits costs (we model c.\$250mn ECL overlay in Q1); 3) A significant move lower in rates vs Q1 averages or a tightening in rate differentials.

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HSBA.L		12m Price Target: 1675p		Price: 1183p		Upside: 41.6%	
Buy		GS Forecast					
			12/25	12/26E	12/27E	12/28E	
Market cap: £212.0bn / \$283.7bn		Net inc. (\$ mn) New	21,102.0	28,611.7	31,526.8	33,300.0	
3m ADTV :£300.3mn/ \$404.7mn		Net inc. (\$ mn) Old	20,418.3	26,941.3	29,275.2	31,105.7	
United Kingdom		EPS (\$) New	1.48	1.70	1.87	2.00	
Europe Banks		EPS (\$) Old	1.45	1.59	1.72	1.85	
		EPS growth (%)	10.3	14.7	10.1	6.7	
M&A Rank: 3		P/E (X)	8.3	9.3	8.5	7.9	
		P/B (X)	1.2	1.5	1.4	1.3	
		Price/PPOP (X)	7.6	6.9	6.5	6.2	
		Dividend yield (%)	6.1	5.4	5.9	6.3	
			12/25	3/26E	6/26E	9/26E	
		EPS (\$)	0.35	0.42	0.44	0.43	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 23 Mar 2026 close.

0005.HK	12m Price Target: HK\$162	Price: HK\$123.6	Upside: 31.1%			
Buy	GS Forecast					
		12/25	12/26E	12/27E	12/28E	
	Market cap: HK\$2.2tr / \$282.7bn	Net inc. (\$ mn) New	21,102.0	28,611.7	31,526.8	33,300.0
	3m ADTV :HK\$2.3bn/ \$293.3mn	Net inc. (\$ mn) Old	20,461.3	26,276.6	28,449.7	30,104.2
	Hong Kong	EPS (HK\$) New	11.52	13.22	14.55	15.53
	Asia Financials	EPS (HK\$) Old	11.28	12.07	13.10	14.06
		EPS growth (%)	10.4	14.5	9.8	6.7
	M&A Rank: 3	P/E (X)	8.3	9.3	8.5	8.0
		P/B (X)	1.2	1.5	1.4	1.3
		Price/PPOP (X)	7.5	6.9	6.5	6.2
		Dividend yield (%)	6.1	5.4	5.9	6.3
			12/25	3/26E	6/26E	9/26E
	EPS (HK\$)	2.70	3.24	3.42	3.32	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 24 Mar 2026 close.

Executive Summary

- We believe HSBC is well positioned as a scaled global liquidity engine with a differentiated, capital-light growth model, combining one of the largest deposit franchises globally with structurally attractive wealth exposure in Asia and a liquidity-focused balance sheet. This positioning is increasingly valuable in an environment where deposit-centric growth and cost & capital discipline are key differentiators (see: [Europe Banks: 2026 Outlook: Moving Past 'Proof of Concept'](#)).
- The Group is entering a stronger earnings phase driven by an inflection in Banking NII, on our estimates, following two years of rate-related headwinds. We expect Banking NII (c.62% of Group revenues) to contribute ~45% of total revenue growth over the next three years, supported by: **1)** Sustained deposit growth at a ~5% CAGR across 2026–28E (driven by broad-based momentum across CIB, IWPB and HK). **2)** Structural hedge reinvestment upside, with a c.\$593bn hedge portfolio being reinvested at materially higher yields. And **3)** A gradual improvement in loan growth.
- **We model Banking NII increasing from \$44.1bn in 2025 to \$46.4bn/\$47.8bn/\$48.8bn across 2026–28, positioning our forecasts 2%/3%/2% ahead of consensus.**
- Wealth is a structural growth and returns lever, particularly in Asia, where we believe HSBC is well positioned to benefit from rising affluence, high savings penetration and accelerating financialisation. Wealth balances grew 15% y/y to \$1.56tn in FY25, driven by \$86bn of NNM (c.\$72bn from Asia), supporting +15% y/y growth in fee and other income. Hong Kong's role as a cross-border wealth hub continues to deepen, with China representing a US\$7–10trn wealth TAM to be deployed into financial assets over time. Wealth is highly capital light, with estimated ROEs of ~35%, well above Group averages. Looking ahead we model overall Group fee and other income growth of +6–7% pa across the upcoming three years.
- Cost efficiency is increasingly becoming embedded within the operating model of the bank. HSBC's most recent savings initiative delivered \$1.2bn in annualised savings in 2025, above the \$1bn target. For 2026, HSBC guides to 1% headline Opex growth, lower than in recent years, with underlying expense growth being partly offset by ongoing efficiency measures.
- Operating efficiency includes footprint rationalization, with 13 business exits either complete or announced in 2025, with four more currently under strategic review. The 11 exits announced or completed in 2025 account of \$0.7bn in opex (and \$1bn in revenue).
- Over the coming years, we model the Group underlying cost/income ratio for HSBC declining from 49% in 2025 to 45%/44%/44% in 2026/27/28.
- Within this efficiency improvement story, the privatization of Hang Seng Bank (completed January 26) provides further inorganic tailwinds, with \$0.5bn of revenue and cost synergies (equivalent to c.20% of 2025 Hang Seng Bank PBT) targeted by the company by end 2028, with scope for additional tailwinds of up to \$0.4bn. Alongside the revenue and cost synergies, the privatization of Hang Seng Bank will

also add scale in the Hong Kong market (c.1/3 the size of HSBC Hong Kong) and may offer opportunities for capital optimisation.

- We are increasing our EPS estimates by 7%/9%/8% with this report, driven predominantly by: **a)** Better Banking NII, and **b)** improved operating efficiency. We model ROTE at 17.0% this year, rising to 17.8%/17.7% in 2027/28 (vs. the target of 17% or better). We forecast total capital return yield for HSBC at 6%/8% in 2026/27 (consisting primarily of dividends) with buybacks resuming from Q2 this year, as the company manages towards the 14-14.5% CET1% target range.
- Our Group earnings forecasts are 4%/5%/4% above consensus for 2026/27/28, driven primarily by our more constructive stance on top-line growth (across both Banking NII and fee/other income).
- Recent macro uncertainty has impacted valuation for HSBC, as for many other banks. Given HSBC's global footprint, the bank books c.5% of PBT and 2% of Group loans in the Middle East (more exposed than most European and Asian peers). However, this diversification is, in our view, an asset not a liability on a through-cycle view — through repeated bouts of macro and geopolitical tension, HSBC will likely always have some relevant regional exposure but rarely excessive.
- HSBC currently trades at c.9.5x 12m fwd PE (vs 5y average of 8.1x and 10y avg of 10.0x), for a c.10% GS EPS CAGR (2025-28E) and 1.6x P/TBV for 17.5% average ROTE (2026-28E). Our updated 12m price targets are 1,675p/HK\$162, and we reinstate coverage with a Buy rating on both listings.

#1. Well-positioned to benefit from the liquidity and wealth cycle

In our view, **HSBC's growth story is positioned within an attractive and supportive environment**, largely given ongoing momentum relating to i) its strong liquidity position, in the context of a greater emphasis on deposit-centric growth across the industry, and ii) wealth inflows, with continued NNM helping to scale the fee-generating part of the franchise by a more meaningful amount.

- **Banking NII growth inflection** supported by deposit strength, structural hedge and continued recovery in loan growth. Banking NII remains the core earnings engine, accounting for **c.62% of Group revenues**. While it has contributed little to underlying revenue growth over the past two years (a drag in 2024 and c.3% contribution in 2025) due to rate headwinds, we see this as set to **inflect meaningfully**. As we near the end of the rate-cutting cycle, we expect **Banking NII to contribute an average ~45% of revenue growth over the next three years**, anchored by:

- a. HSBC's **industry-leading deposit franchise**, with all four segments delivering y/y growth in FY25 (Group +8%) underpinning strong balance sheet momentum (structurally low **LDR of c.55%**; lowest in our European banks coverage). We expect deposit growth to be sustained at **~6% y/y over the next three years** supported by **strong liquidity inflows in Asia**, particularly **in Hong Kong**. These inflows reflect structural shifts in regional liquidity preferences, the increasing use of HK as a **treasury and investment hub**, rising capital-markets activity, and **cross-border wealth flows from mainland China**. Our earlier analysis (Riding Asia's liquidity wave: the earnings engine of HK/ SG Banks) highlights that deployment of excess deposits could yield up to c.60% ROE for HSBC given its low risk weights, allowing balance sheet expansion to increasingly feed through to profits.
- b. Continued uplift from the **reinvestment of the structural hedge portfolio** (c.\$593bn in 2025) at higher yields (management cites roll-off yields of **c.2.7%/3.4%/3.7% for 2026–28E**).
- c. **Sustained recovery in loan growth**, as macro uncertainty eases and demand improves across core markets.

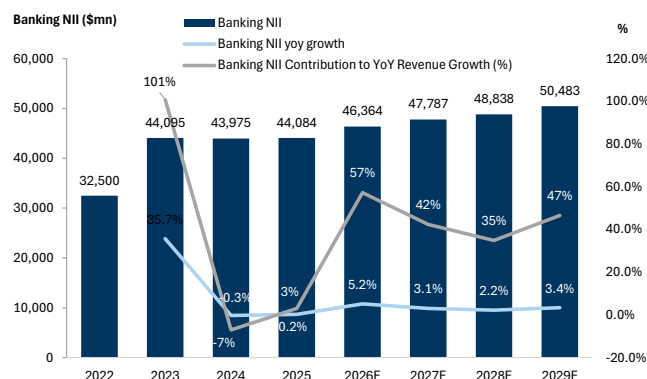
- **Wealth inflows to drive sequential fee-income growth and lift Group returns:** HSBC is well-positioned to benefit from **structural wealth growth in Asia**, underpinned by a stronger macro backdrop (above-trend GDP growth), rising affluence, high savings penetration and ongoing financialisation of assets across the region. In particular, **Hong Kong's role as a cross-border wealth hub** continues to deepen, acting as the primary conduit for mainland China capital into global markets and set to become the world's leading cross-border wealth hub by 2029 (per the BCG Global Wealth Report 2025). We estimate a **China wealth TAM of US\$7–10trn** (also within our report Riding Asia's liquidity wave) to be deployed into financial assets over time, with Hong Kong and Singapore the key beneficiaries — especially HK, where HSBC has a **leading and deeply entrenched franchise** together with the Hang Seng privatisation enabling the Group to further reinforce its position in the

region. Execution remains strong: **wealth balances grew +15% y/y to \$1.56tn in FY25**, driven by **\$86bn of NNM** (c.\$72bn from Asia), translating into **+20% y/y growth in fee and other income**. This momentum is supported by targeted investment across Premier to UHNW segments, including **27 new wealth centres opened in 2025** (64 total), RM hiring and continued investment in digital and AI-enabled capabilities.

Wealth is a highly profitable business and we estimate HSBC's wealth ROEs at **c.35%, well above the Group average of ~16%, highlighting the capital-light and highly accretive nature of the business**. We note it does trail peers such as STAN (c.52%) and DBS (c.60%), reflecting lower fee yields at HSBC AM. Hence, stronger growth in wealth should uplift overall group ROTEs. Our analysis shows that **every 5% growth in invested AUM** at current fee yields would **uplift Group earnings by c.1.2% and ROEs by ~8bps**, reinforcing wealth as a key lever for returns expansion.

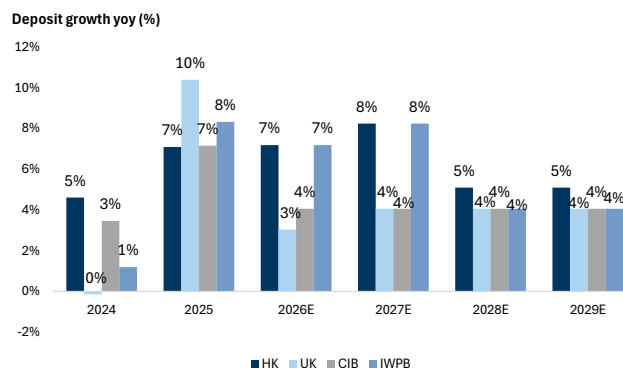
While explicit double-digit fee growth guidance has been removed, wealth ambitions are embedded within HSBC's **c.5% Group revenue growth target by 2028**, and we forecast **IWPB fee and commission income CAGR of c.12.7% over 2025–28E**, driven by sustained NNM inflows and operating leverage as the platform scales.

Exhibit 1: We expect banking NII to deliver moderate single digit growth from 2026E...



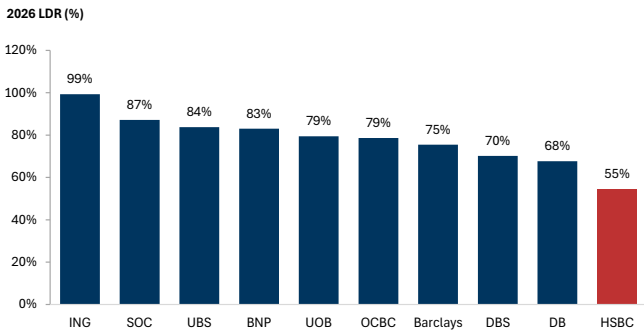
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: ...driven by deposit growth, particularly from HK and IWPB segments



Source: Company data, Goldman Sachs Global Investment Research

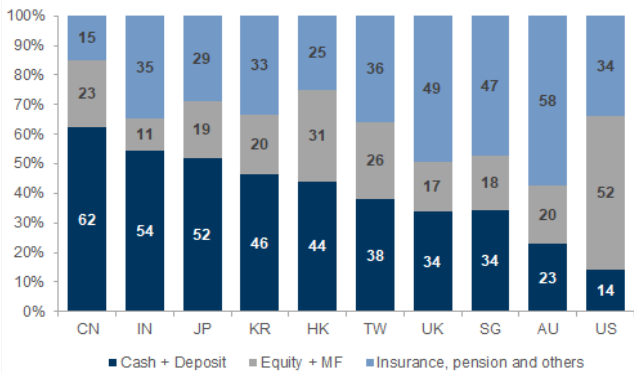
Exhibit 3: HSBC has a low LDR of c.55%
HSBC LDR vs select banks



LDR based on net loan basis

Source: Company data, Goldman Sachs Global Investment Research

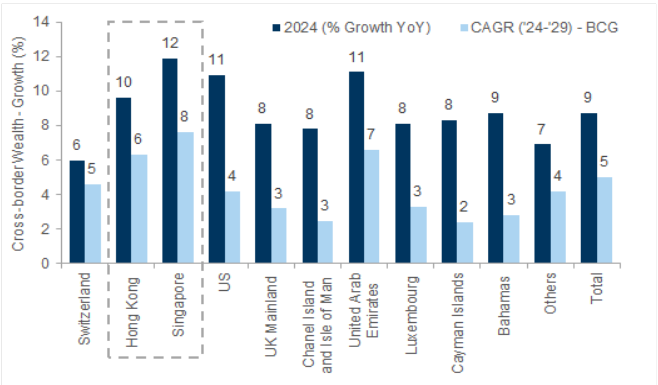
Exhibit 5: Cash & deposit share as a % of household financial assets highest in Mainland China / India vs global peers



1) Data for India is GSe as of Mar-2025. 2) Data for Taiwan and Hong Kong is as of Dec-2023,

Source: NFID, CEIC, Wind, China Wealth, China Trust Association, Japan Cabinet Office, RBI, Goldman Sachs Global Investment Research

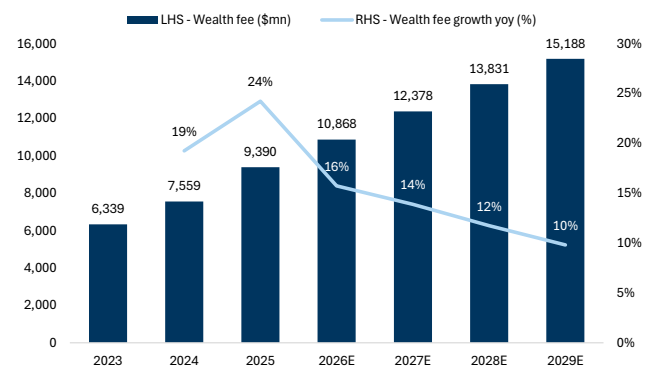
Exhibit 4: Hong Kong and Singapore are well positioned to benefit with high exposure to cross-border wealth flows in Asia



CAGR for 2024-29 in cross-border wealth for above centers is based on BCG estimates. The hubs are listed in order of cross-border wealth managed.

Source: BCG Global Wealth Report 2025

Exhibit 6: We forecast wealth fee growth to remain robust at 16% in 2026E and gradually falling to 10% by 2029E



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: Our analysis suggests that Asian banks in our coverage could potentially make ROEs in the range of c.50-60% on Securities from incremental deposit inflows

	STAN			HSBC			DBS		
	Group (2025)	Securities	AUM	Group (2025)	Securities	AUM	Group (2025)	Securities	AUM
NIM	1.3%	1.6%	1.6%	1.4%	1.6%	1.4%	2.0%	1.1%	1.3%
Fees/Asset	1.1%	0.0%	1.4%	0.9%	0.0%	1.3%	0.6%	0.0%	1.7%
Cost/Asset	1.4%	1.0%	1.5%	1.1%	0.8%	1.7%	1.1%	0.4%	1.5%
Provision/ Asset	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%
ROA	0.6%	0.5%	1.1%	0.8%	0.6%	0.8%	1.3%	0.6%	1.2%
Risk Weight	29.2%	7.0%	15.4%	26.2%	7.0%	15.7%	41.6%	7.0%	15.3%
RoRWA	2.1%	6.6%	7.0%	3.2%	8.6%	5.0%	3.1%	8.0%	8.1%
CET1 / Leverage	17.1%	13.5%	13.5%	19.9%	14.3%	14.3%	19.0%	13.5%	13.5%
ROE	12.2%	49.0%	51.9%	15.9%	60.1%	34.9%	16.2%	59.0%	60.0%

Source: Goldman Sachs Global Investment Research

Exhibit 8: Earnings and ROE accretion potential from AUM growth

HSBC									
Operating Income uplift if deposits came as AUM									
		Growth							
Invested AUM		3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit		1.0%	1.7%	2.4%	3.0%	3.7%	4.4%	5.0%	
Fees on Invested AUM	0.3%	0.5%	0.9%	1.2%	1.5%	1.9%	2.2%	2.6%	
	0.4%	0.6%	1.0%	1.3%	1.7%	2.1%	2.5%	2.9%	
	0.5%	0.6%	1.1%	1.5%	1.9%	2.3%	2.7%	3.2%	
	0.6%	0.7%	1.2%	1.6%	2.1%	2.5%	3.0%	3.5%	
	0.7%	0.8%	1.3%	1.8%	2.3%	2.8%	3.3%	3.8%	
	0.8%	0.8%	1.3%	1.9%	2.4%	3.0%	3.5%	4.0%	
	0.9%	0.9%	1.4%	2.0%	2.6%	3.2%	3.8%	4.3%	
ROTE uplift if deposits came as AUM									
		Growth							
Invested AUM		3.0%	5.0%	7.0%	9.0%	11.0%	13.0%	15.0%	
Wealth deposit		1.0%	1.7%	2.4%	3.0%	3.7%	4.4%	5.0%	
AUM Fees on Assets	1.0%	2bps	3bps	5bps	6bps	8bps	9bps	10bps	
	1.1%	3bps	5bps	7bps	9bps	11bps	13bps	14bps	
	1.2%	4bps	6bps	9bps	11bps	14bps	16bps	19bps	
	1.3%	5bps	8bps	11bps	14bps	17bps	20bps	23bps	
	1.4%	5bps	9bps	13bps	16bps	20bps	23bps	27bps	
	1.5%	6bps	10bps	15bps	19bps	23bps	27bps	31bps	
	1.6%	7bps	12bps	17bps	21bps	26bps	31bps	35bps	

Source: Goldman Sachs Global Investment Research

#2. Improving operating efficiency to drive durable positive jaws

We see HSBC entering a structurally stronger operating phase, with **positive jaws increasingly durable beyond the current cost cycle**. This is underpinned by ahead-of-schedule simplification, disciplined cost reallocation, and accelerating technology-driven productivity gains. Management's delivery against stated cost targets has, in our view, **materially de-risked the medium-term efficiency trajectory**, creating scope for incremental operating leverage.

At Q4'25 results, management highlighted that the Group's simplification efforts are ahead of schedule (with c.\$1.2bn in annualised savings realised by end-2025, ahead of the initial \$1bn target). This execution confidence underpins **new 2026 cost guidance of c.1% growth on a target basis** (c.\$33.8bn), which was ahead of our prior assumptions. Given the remaining pipeline of simplification actions, management's track record of recycling savings, and a sustained focus on cost discipline, we have **lowered our opex forecasts and aligned them to guidance**.

Beyond headline savings, we see improving quality of costs as a key differentiator. Strategic cost reallocation and targeted technology investment should support structurally lower run-cost inflation and better scalability. In particular, we see across the industry further efficiency improvements led by AI-adoption (see our broader note, [AI: Quantifying tailwinds, assessing headwinds](#)), and this is particularly applicable for a large global bank such as HSBC, which can meaningfully benefit in a number of areas, including KYC/AML and fraud prevention/detection, client onboarding, credit selection, personalised wealth solutions etc., across its several regions/jurisdictions, reinforcing management's push towards a more **centralised and simplified operating model**.

Based on our industry-wide analysis on the potential benefits from the adoption of various AI-powered tools, largely driven by cost reduction, but also supported by improvements to top-line growth with use cases ranging from increased cross-selling to lower funding costs given enhanced financial behaviour modelling and credit quality as AI tools power better credit analysis, both at the point of loan origination and during the life of the product (more details are within our broader AI note), we estimate a c.2.2pp ROE uplift for HSBC on 2027E numbers (see [Exhibit 10](#)). Notably, **we do not embed these AI-led benefits in our base case**, viewing them as **asymmetric upside** to medium-term cost growth and earnings leverage. We anticipate management to lay out its medium-term efficiency plans in the May 2026 Investor Day and how that will support its target of > 17% RoTE in the medium term.

Reflecting improved execution visibility so far, **we reduce our operating expense estimates by c.1.5-1.6% across 2026-28E**. This underpins our view of sustained positive-jaws with HSBC reinvesting selectively into core regions and the capital-light Wealth franchise — supporting stronger earnings leverage and returns over time.

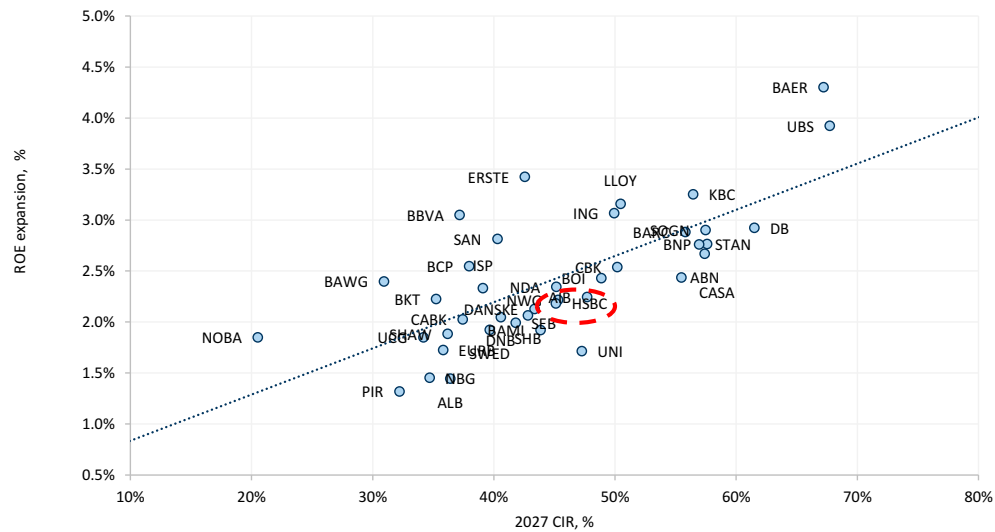
Highlights of various efforts on operating efficiency:

- **Strategic exits and cost reallocation:** Management has announced 11 business/market exits across 2025, accounting for c.\$0.7bn in annualised cost savings, alongside c.\$0.3bn reported-basis cost synergies across HSBC and Hang Seng Bank (to be reinvested in growth opportunities within HK). While the Hang Seng privatisation will still involve the retention of two separate banks and brands (with no

significant headcount reductions planned), medium-term synergies are expected from back-office harmonisation, system integration, and operation streamlining etc., which combine with the various cross-selling benefits, driving expected c.\$0.5bn revenue and cost synergies by 2028 (with management citing additional upside of c.\$0.4bn).

- **Technology investment and AI to reduce IT complexity and achieve productivity:** Management continued to guide to a tech investment of c.20% of overall costs, with a clear focus on removing IT inefficiency. HSBC note that >1,100 non-strategic applications have been decommissioned in 2025, marking significant progress towards addressing the c.3,000 total applications that the bank has deemed non-strategic. Cloud transformation remains a key pillar supporting greater resilience, flexibility and hosting optimisation. Management note that the large part of tech investment will go towards generative AI, which has been rolled-out across the group (c.85% employees enabled with generative AI tools, with near-term ambitions to reach 100%), with tangible productive benefits cited (e.g. 60% faster unit testing, 5x faster patching of vulnerabilities in code, >50% CRM engagement via the Banker Assist tool, and >1,000 RMs using Wealth AI to enable tailored customer insights etc.).
- **Organizational simplification:** HSBC continues to execute on organizational simplification, reducing management layers and complexity, including a ~15% net reduction in Managing Director roles and the reallocation of \$1.5bn of costs away from non-strategic activities and systems toward areas of competitive strength. The group is on track to deliver these simplification savings with immaterial revenue impact by 1H26, six months ahead of plan, having already realized \$0.6bn in 2025. This underpins management's guidance for 1% cost growth in 2026, lower than past three years, while we forecast costs growth gradually picks up to c.3% y/y over 2027E-29E as reinvestment continues.

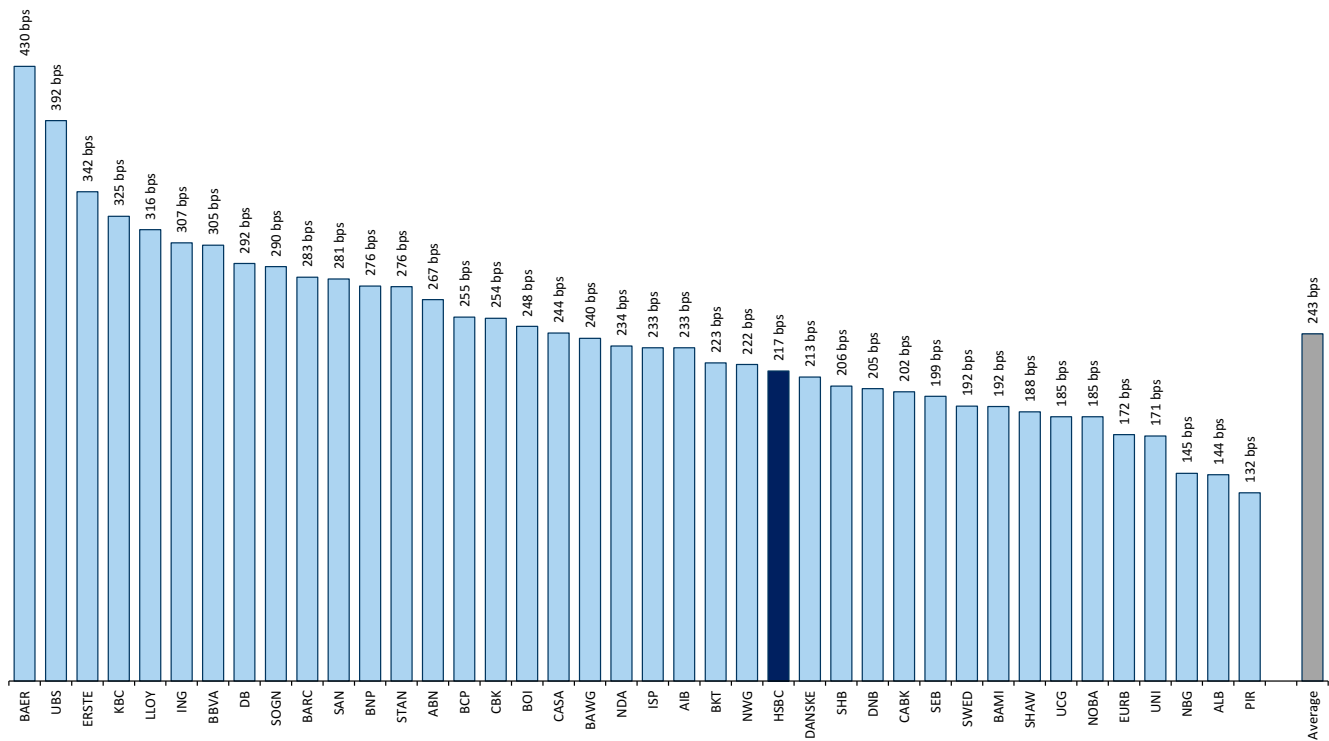
Exhibit 9: HSBC screening broadly in line with our European Banks coverage in terms of both 2027E CIR and potential AI-related returns uplift...
Potential ROE (pre-minorities) expansion vs 2027E CIR, %



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: ...and we further estimate a potential 2.2pp ROE uplift for HSBC based on our analysis of potential AI-related tailwinds for European Banks

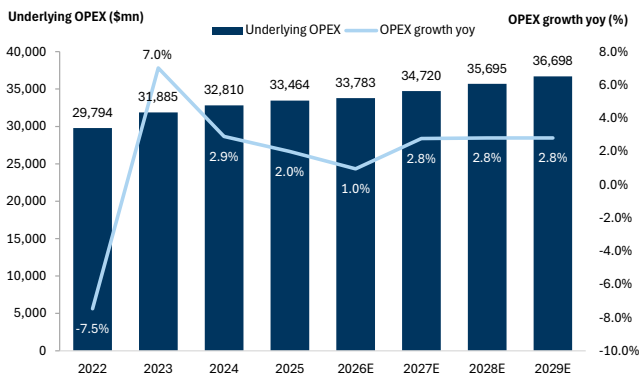
2027E ROE (pre-minorities) incremental potential effect of implementing AI tools, when applying assumed industry impacts on aggregate data



Outcome, for the industry in aggregate, assumes 2% revenue growth; 9% cost reduction; and 7bp lower CoR.

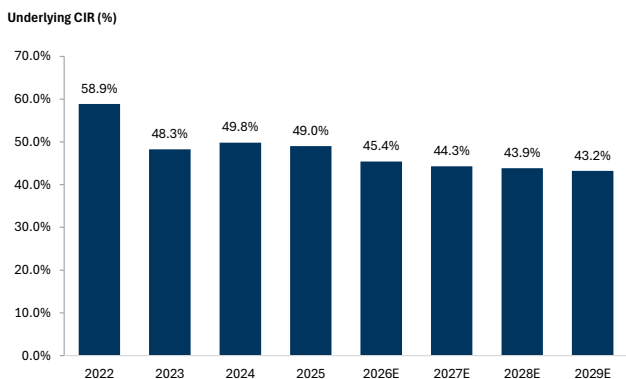
Source: Goldman Sachs Global Investment Research, European Banking Authority

Exhibit 11: We forecast HSBC underlying OPEX growth to be 1.0-2.8% range for 2026E-29E....



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 12: ...with a gradually declining CIR



Source: Company data, Goldman Sachs Global Investment Research

#3. NII in focus

Upside to NII estimates from higher rates and structural hedge roll effect

Given the recent drop in HIBOR (from c.3% at end-2025 to c.2% currently), we recap the key dynamics at play. At end-2025, HSBC disclosed \$202bn in HKD loans (~20% of the Group total), with \$107bn Hong Kong mortgages (of which ~\$90bn are switchable as described hereafter). The Hong Kong mortgage market operates on a capped system — with the borrower paying the lower of: 1) HIBOR plus a margin, or 2) the bank's published reference rate minus a margin. As a result, with HIBOR at 2%, when adding a ~125bp margin, the effective rate would be ~3.25% in option 1, which compares with ~2.5% in option 2 (HSBC's best lending rate is currently 5.0%, minus a ~250bp average discount). Once HIBOR approaches ~1.25%, the mortgage book flips from referencing option 2 (best lending rate minus discount, effectively representing a fixed rate) to option 1 (HIBOR plus a margin, therefore a variable rate), increasing NII sensitivity.

With HIBOR having fallen from c.3% to c.2% currently, we see HSBC's stated sensitivity of \$0.6bn per 100bp downward shift in HKD rates as the relevant reference point — while we note that any further falls (to levels of ~125bp or lower) would likely increase the NII sensitivity to greater levels given the mortgage repricing dynamic. Furthermore, out of the \$321bn HKD deposits at end-2025, while a portion are time deposits which can be repriced downward in the event of further rate cuts — a significant portion of deposits are retail current & savings accounts which are effectively floored and cannot be repriced lower. As a result of this, stated rate sensitivities for both USD and HKD were higher at 4Q25 than 4Q24, reflecting the more limited capacity for downward deposit repricing.

We update our NII estimates in the context of the recent rate moves higher — over the coming years, while we still expect a headwind from lower policy rates (particularly in 1Q26 given lower USD and HKD policy rates q/q), this is gradually outweighed by the uplift from HSBC's structural hedge — with \$320bn of hedges due to mature and be reinvested over the course of 2026–28, providing a sizeable tailwind as they are replaced at higher current rates. As at 20 March 2026, UK 5-year swap rates sit at 4.35%, with equivalent USD rates at 3.64%, up c.80bps and c.40bps over the last month. Given recent volatility, we include a degree of conservatism in our modelled rates — using 3.7% for the purposes of future hedge modelling (vs a simple average across the two swap rates of 4.0% as at 20 March 2026).

An overview of our estimates changes

Altogether, we revise our FY26/27/28E GSe (underlying) EPS estimates by 7%/9%/8% as:

- **Banking NII/revenue:** We now expect FY26/27/28E Banking NII to be c.US\$46.4/47.8/48.8bn, c.\$2.5–3.1bn above prior expectations factoring in FY25 banking NII, the latest structural hedge data, rates curve, rates sensitivity to NII and deposit growth forecasts. Our Banking NII estimates are c.2%/3%/2% ahead of 2026/27/28E consensus. On non-NII, management highlight that the Wealth business has a strong growth opportunity with the ability to gain market share, and expect that the y/y growth momentum of transaction banking business will continue

(+4% y/y in FY25). Management notes that business momentum was positive in Jan'26, including wealth income, and that they will continue to invest in wealth and transaction banking. We now model +c.6%/+7%/+6% non-NII growth for FY26/27/28E, and are c.1%/2% above FY26/27E consensus. Collectively, this brings our updated revenue forecasts to \$75.0/78.4/81.4bn for FY26/27/28E, 6%/4%/4% y/y growth respectively, c.4-5% ahead of our prior modeling and are c.2% above both FY26/27E consensus.

- **Opex:** We cut our opex estimates by -1.5-1.6% for FY26-28E and are now broadly in line with 2026-28E consensus. Our FY26 underlying opex estimate is \$33.8bn, implying c.1% y/y growth vs FY25 target basis costs of US\$33.5, which is in line with the new guidance. We now expect +c.3% y/y growth in each of FY27/28E, when including simplification savings. As a result, our PPP forecasts are now c.3%/5%/4% ahead of consensus, after being revised up by c.9-10% for 2026-28E.
- **Provisions:** We model c.42/35/33bp of credit costs during FY26/27/28E (vs. 38/35/32bp previously), with FY26 management guidance of c.40bp, as we now include an additional c.\$250mn ECL overlay provision for FY26E. Consensus, by comparison, is at c.40/39bp/38bp for FY26/27E. Our FY26E provision is revised up +10% (given the additional overlay), while our medium-term (FY27E onward) provisions are revised modestly by +1%-3%.
- **ROTE:** Our underlying ROTE estimates for FY26/27E are 17.0%/17.8%, in line with management guidance of 17% or better ROTE for each year (excl. notable items) in 2026-28E, and above consensus of 16.5%/17.6% at FY26/27.

#4. HSB integration provides further opportunity on revenues, cost and capital

The full privatisation of Hang Seng Bank (HSB), in our view, enhances HSBC's ability to extract value from its Hong Kong franchise, with opportunities across revenues, costs, asset quality and capital efficiency. The management has guided to c.\$0.9bn of gross synergies by end 2028 (split broadly evenly between revenues and costs) and noted potential upside to these targets, which the markets will likely watch closely. On cost, the implied c.\$450m of savings represents c.23% of HSB's FY25 cost base, which we view as consistent with levels seen in European bank integrations, particularly given the retention of the two brands. We expect investors to focus on: 1) further revenue synergies, driven by wealth fee convergence and incremental fee income from wholesale and SME advisory, 2) the potential earnings uplift from easing asset quality headwinds — e.g. with CRE de-risking well advanced and coverage ratios in line with Group levels, a normalisation of credit costs from 100bps in FY25 toward HSB's historical average of c.18bps would reduce provisions by c.\$760m, implying an uplift of FY25 earnings by c.40% and ROEs toward c.13%. And 3) potential provision release — with HSB's CET1 ratio of 23.3% well above international peers in Hong Kong (HSBC Asia at 19.1%, Standard Chartered HK at c.19%), converging towards 19% would imply capital release of c.\$2.9bn over time assuming regulators gain comfort post integration — lifting HSB ROEs from 9.4% to c.10.9% on capital effects alone. Taken together, we expect the markets to watch for a medium-term path to higher and more sustainable returns from HSB, and potential upward revisions of management's synergy guidance over time. While the scenarios point to potential upside and should be seen for illustrative purposes, we could see: 1) cost synergies being capped by the retention of two separate operating entities, and 2) the revenue upside being more limited than the scenarios suggest, due to differences in client mix between HSB and HSBC. We will look for further details and incremental colour at the May investor day. We detail our analysis below.

1. Revenue synergies: HSBC and HSB were directionally aligned operationally but in our view with limits on product sharing and cross selling. With the full acquisition HSBC can now treat HSB as a fully integrated distribution arm within the Hong Kong ecosystem rather than a parallel affiliate. Management has highlighted cross selling across wealth as one of the key drivers. HSB's deep local retail and SME relationships can now be more systematically linked into HSBC's broader wealth infrastructure, advisory and cross border capabilities, allowing for a wider and deeper suite of wealth solutions, as well as improved know-how transfer in client servicing and penetration. HSB's wealth fee to deposit ratio stood at 0.22% in FY25, below HSBC Hong Kong (ex HSB) at 0.45%. In a scenario where HSB converges to the HSBC HK level, this would imply c.\$350m of incremental revenues. We acknowledge differences in customer mix — notably HSBC's higher proportion of affluent clients — but see scope for better product tailoring for HSB depositors, particularly as this analysis is based on a FY25 snapshot.

Beyond retail wealth, we see further upside from HSB's non-retail franchise, which is skewed toward SMEs. Leveraging HSBC's expertise, management noted the expansion of advisory penetration and introduction of a broader suite of markets-related products (e.g. hedging, options and more competitive FX solutions), supporting incremental fee generation. As an illustrative reference point, Wing Hang

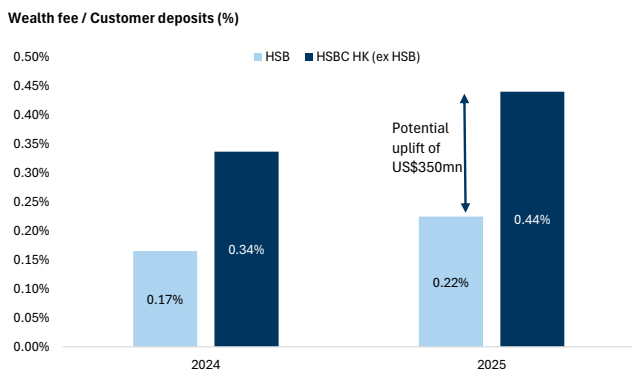
Bank saw a material uplift in non-retail fee income relative to total business loans following its acquisition by OCBC (0.32% currently vs 0.16% pre acquisition). In a scenario where HSB achieves a similar uplift as Wing Hang Bank, this would imply c.\$400m of incremental revenues.

Overall, our illustrative scenario points to potential total incremental revenue of c.\$750mn, from a stronger combined franchise driving higher customer acquisition, deeper wallet share and incremental market share gains. We look to the May investor day for additional granularity on synergy phasing and medium-term growth opportunities. That said, we would expect limited upside revisions to consensus revenues forecasts from targeted synergies in the near term given c.\$450mn over three years would equate to an annual uplift to HSBC HK of <1%.

2. **Cost synergies:** Management expects the remaining half of the \$0.9bn gross synergies to be delivered through costs, primarily via technology harmonization, the removal of duplicated central functions and cost savings from delisting. At FY25, the implied \$450m of cost savings represents c.23% of HSB's cost base. We view this assumption as consistent in the context of European bank integrations, particularly given management's commitment to retaining two distinct brands. That said, upside beyond guided targets may be more limited, as HSB already operates with a relatively efficient cost structure. HSB's FY25 CIR of 33.3% compares favourably with BEA's 46.7%, though remains above BOC Hong Kong's 24.6% (FY24), suggesting scope for incremental efficiencies, but not to a large scale.
3. **Asset quality improvement:** HSB's asset quality challenges over the past few years have been **concentrated in CRE exposures across Hong Kong and Mainland China**, driving a rise in credit costs and NPLs. CoC increased to 100bps in FY25 (79bps at 2H25), compared with a pre COVID 5 year average of 16bps, while NPL ratios rose to 7.4% in FY25 versus 0.22% in 2019. Importantly, HSB has already taken **active steps to de risk the balance sheet**, with CRE exposures across Hong Kong and Mainland China reduced to 16% of loans at FY25, down from 20% at FY23. At the same time, provisioning has been front loaded, with total CRE NPL coverage at 27% at FY25, broadly in line with HSBC Group levels, providing a solid buffer against residual stress. We believe the **peak of CRE related pressure is likely behind us**. While CRE remains a watch point in Hong Kong, our HK real estate team expects stabilisation to modestly recovery in 2026, with prices forecast to rise c.12% in residential, remain flat in office and increase c.2% in retail, alongside flat office rents and a c.2% uplift in retail rents (see: Hong Kong Property & Conglomerates, Recovery after a prolonged downturn, 18 February). That said, recovery is likely to remain uneven, with further restructuring required for weaker quality CRE borrowers. Against this backdrop, we expect CoC to **taper from FY25** levels and normalise over time. A return toward HSB's historical average CoC of 18bps would imply a reduction in provisioning charges of c.\$760m (as of FY2025), supporting a meaningful 40% uplift to HSB FY 2025 earnings (raising HSB ROEs to 13%) as asset quality headwinds fade.
4. **Capital efficiency:** HSB operates with a CET1 ratio of 23.3% in FY25, which screens high in absolute terms but is **broadly in line with Hong Kong peers**, including BOC Hong Kong at 23.7% and BEA at 24.7%. However, this stands in contrast to HSBC Asia at 19.1% and Standard Chartered Hong Kong at c.19% in FY25. With HSB now

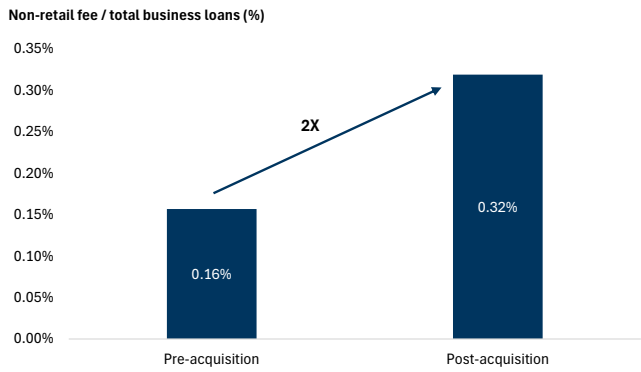
wholly owned and embedded within a larger, more diversified group, markets may watch whether the HKMA may be **more comfortable with HSB operating at lower capital levels over time**, converging closer to HSBC Asia and Standard Chartered HK. In such a scenario, we estimate a potential capital release of \$2.9bn, which could be redeployed either at the Group level or to support further growth within the Hong Kong franchise. At the HSB level, this capital release alone could lift ROE meaningfully, with FY25 ROE increasing from 9.4% to c.10.9%, even before considering any improvement in earnings quality or revenue mix. Beyond capital levels, HSB could see upside on capital productivity: revenues/RWA have averaged c.6.0% over the past three years, versus c.8.0% for HSBC Group and c.10.5% for the HSBC Asia segment. We therefore see scope for medium-term capital efficiency improvement, as the combined Group continues to de risk the balance sheet and rebalance toward more capital efficient growth levers, including deposit-centric expansion given sustained liquidity inflows into Hong Kong.

Exhibit 13: In a scenario where HSB converges to the HSBC HK level, this would imply c.\$350m of incremental revenues...



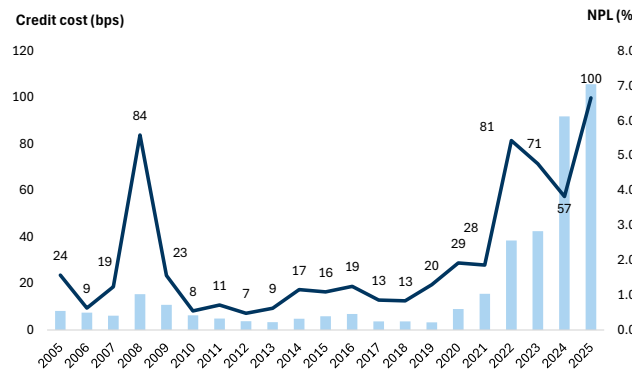
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 14: ...coupled within additional c.\$400m if HSB were to reach similar uplift as Wing Hang Bank
Wing Hang Bank non-retail fee / total business loans (%)



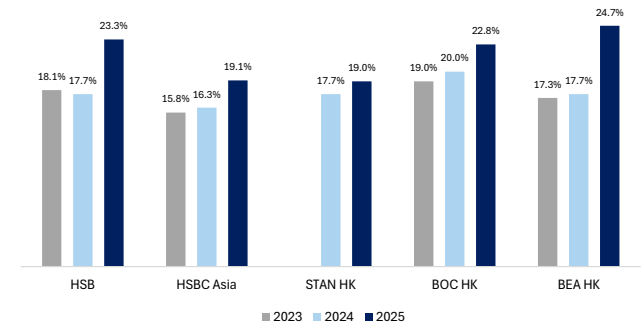
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 15: HSB credit cost has risen in the past years due to CRE issues



Source: Company data

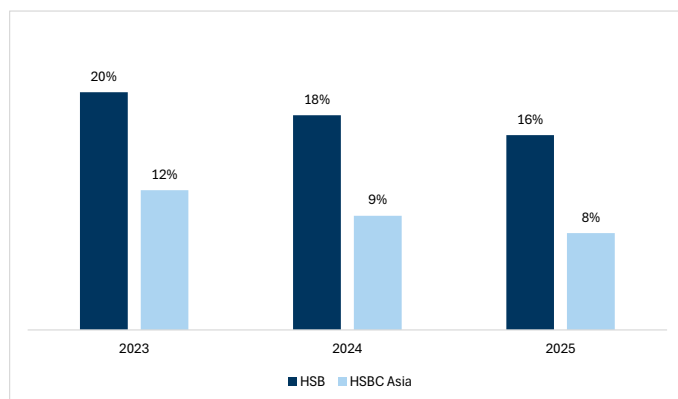
Exhibit 16: HSB’s capital levels are higher than HSBC Asia, as well as other select peers, at c.23% for FY25
CET1%, 2023–25



Source: Company data

Exhibit 17: While HSB remains relatively more exposed to HK and mainland China CRE, both HSB and HSBC Asia have de risked across recent years

HK and mainland China CRE gross loans and advances, as a percentage of entity total



Source: Company data

Exhibit 18: M&A deals involving European Banks - precedent transactions are supportive of an achieved synergy rate of 30%

Date	Deal (Target / Acquiror)	Cost Synergies		Restr. Costs
		(€mn)	% target's costs	x of cost synergies
Eurozone				
Apr-98	Credito Italiano / Unicredit	325	25%	0.6x
May-99	Banca Commerciale Italiana / Banca Intesa	506	20%	0.8x
Sep-99	Paribas / BNP	700	21%	-
Dec-99	Banca Regionale Europea / Banca Lombarda	14	6%	-
Dec-02	Credit Lyonnais / Credit Agricole	760	16%	-
Dec-03	Banco Atlantico / Banco de Sabadell	74	36%	1.6x
May-05	Bayerische Hypo / Unicredit Italiano	887	29%	1.5x
Nov-05	Eurohypo / Commerzbank	90	19%	-
Feb-06	BNP Paribas / BNL	250	13%	1.8x
May-06	Banco Urquijo / Banco de Sabadell	32	31%	2.7x
Aug-06	SanPaolo IMI / Banca Intesa	980	21%	1.5x
Oct-06	FriulAdria + Intesa (193 Brch) / Credit Agricole	65	9%	1.6x
Oct-06	BPI / Banco Popolare di Verona	220	20%	-
Nov-06	Banca Lombardae / Banche Popolari Unite SCRL	225	28%	1.7x
May-07	Capitalia / Unicredit Italiano	800	25%	-
Jun-07	Banca CR Firenze / Intesa Sanpaolo	120	20%	1.5x
Jul-08	Alliance & Leicester / Banco Santander	226	23%	-
Aug-08	Dresdner Bank / Commerzbank	1,900	39%	1.1x
Sep-08	Deutsche Postbank / Deutsche Bank	710	25%	2.0x
Jun-10	Bancaja / Caja Madrid	500	54%	-
Sep-10	Bank Zachodni WBK / Banco Santander	54	13%	-
Aug-14	Barclays Sau / CaixaBank	150	23%	2.9x
Mar-15	TSB Banking Group / Banco de Sabadell	225	23%	2.8x
Mar-16	Banca Popolare di Milano Scarl / Banco Popolare	320	34%	1.5x
Apr-16	Banco BPI / CaixaBank	85	13%	2.9x
Jan-17	*Target Bridge Institutions*/UBI Banca	194	34%	0.7x
Mar-17	Banco Mare Nostrum / Bankia	155	40%	2.2x
Jun-17	Banco Popular / Banco Santander	500	33%	2.6x
Feb-19	Unipol Banca / BPER Banca	63	24%	0.8x
Feb-20	UBI Banca / Intesa San Paolo	510	22%	2.5x
Sep-20	CaixaBank / Bankia	770	43%	2.9x
Dec-20	Unicaja / Liberbank	192	17%	2.6x
Aug-23	CA Indosuez / Banque Degroof Petercam	200	44%	-
Aug-24	BNP / AXA Investment Manger	-	-	-
Nov-24	Banco BPM / Anima	30	22%	4.3x
Jun-25	BPCE / Novobanco	-	-	-
May-25	Erste / Santander Polska	-	-	-
Average		-	25%	2.0x
Median		-	23%	1.7x
Max		-	54%	4.3x
Min		-	6%	0.6x

Date	Deal (Target / Acquiror)	Cost Synergies		Restr. Costs
		(€mn)	% target's costs	x of cost synergies
Non-Eurozone				
Sep-99	Merita / Nordbanken Holding	76	7%	1.3x
Nov-99	NatWestBank / Royal Bank of Scotland	1,877	23%	-
Aug-00	Woolwich / Barclays	249	36%	1.0x
May-01	Bank of Scotland / Halifax Group	546	29%	1.1x
Sep-04	ABSA Group / Barclays	71	5%	3.2x
Dec-04	Northern Bank / Danske Bank	47	19%	4.3x
Mar-07	National Bank of Dubai / Emirates Bank	31	22%	-
Sep-08	HBOS / Lloyds TSB Group	1,265	9%	-
Feb-12	Kredyt Bank / Bank Zachodni WBK	82	34%	1.7x
Jun-13	Nordea Bank Polska / PKO Bank Polski	29	22%	-
Jun-16	National Bank of Abu Dhabi / First Gulf Bank	121	12%	1.2x
Dec-17	DB (Retail Banking Unit) – Poland / Bank Zachodni WBK	31	38%	2.0x
Apr-18	Raiffeisen Bank Pol (Core Oper) / Bank BGZ (BNP)	121	12%	1.0x
May-18	Virgin Money / CYBG	137	34%	2.0x
Jul-18	Gjensidige Bank / Nordea	25	56%	-
Dec-19	MONETA Money Bank / Wüstenrot (Czech Subsidiaries)	12	31%	1.3x
Dec-19	Nordea / SG Finans	25	-	8.2x
Jul-23	Nordea / Danske Norway	-	-	-
Apr-21	DNB / Sbanken	-	-	-
Mar-23	UBS / Credit Suisse	13,000	412%	0.77x
Feb-24	Barclays Bank / Tesco	-	-	-
Oct-24	DNB / Carnegie	800 SEK	26%	0.5x
Oct-24	Nationwide / Virgin Money	-	-	-
Jul-25	Santander / TSB	464	49%	1.3x
Average		-	46%	2.3x
Median		-	26%	1.3x
Max		-	412%	8.2x
Min		-	5%	1.0x

Source: Company data, Goldman Sachs Global Investment Research

#5. Valuation upside as RoTEs expand and capital returns remain compelling

Despite a 61% (0005.HK) share price rally in 2025, reflecting sustained earnings delivery and improved investor confidence, we think **HSBC's valuation remains undemanding relative to returns**. The stock trades at **c.9.5x 12-month forward consensus P/E** (LSEG), broadly in line with European banks and lower versus DM peers (c.11.5x), while **12-month forward P/TBV of c.1.6x** represents only a modest premium to European banks (c.1.5x) and DM peers (c.1.4x).

Importantly, on a **P/TB-RoTE basis**, HSBC screens attractively against DM peers, supported by a **superior RoTE of >17%** ([Exhibit 21](#)). We therefore see scope for **continued valuation expansion**, underpinned by **ahead-of-expectations execution on transformation**, a resilient and diversified business model, and **structural growth advantages**. These include **deposit-centric, capital-light income streams**, geographic diversification, and **meaningful Wealth opportunities**, particularly across Asia. We forecast **c.10% GS EPS CAGR over 2025–28E**, driving **RoTE expansion towards c.18% by 2028E**, from 16.7% in 2025 and well above the five-year historical average of 14%. This trajectory supports our conviction that HSBC can sustain **returns at the upper end of the global banking peer set**, justifying higher multiples over time.

In addition, HSBC offers an attractive total shareholder return yield of c.6% in 2026E, consisting primarily of dividends, but also share buyback (in line with company guidance of a resumption of share buyback in 2Q'26). This places HSBC in the **top quartile of major DM banks** on dividend yield. Our capital generation analysis indicates the Group can **sustain a total payout ratio of c.70%** while maintaining **CET1 comfortably within/above its 14–14.5% target range**. Over the past three years, average total payout has been 95%, as management has optimised capital levels to drive higher RoTEs. Going forward, we forecast total capital payouts of c.70% post a rebuild of its capital levels post the privatisation of HSB in 2026 and moving towards where we see its sustainable total payout ratio to be.

Price Target Risks and Methodology (HSBA.L)

Our 12-month price target of GBP1,675 is based on a P/E methodology, using 12.0x target multiple applied entirely to our 2027E EPS forecast, vs an average target multiple of c.10.5x for our European Banks coverage, reflecting in part various structural advantages held by HSBC, including its deposit-centric growth (capital-light income, with associated hedge benefits), across a range of supportive regions/products, alongside meaningful opportunities for non-NII growth via the Wealth segment. Downside risks include: 1) Weaker-than-expected Banking NII, including faster-than-expected Fed rate cuts, or a widening gap between HIBOR and Fed rate; 2) Slower-than-expected non-NII growth, including a potential slowdown in global trade or increased competition from peers; 3) Reversal/pause of positive operating efficiency trajectory if simplification efforts are impacted adversely.

Price Target Risks and Methodology (0005.HK)

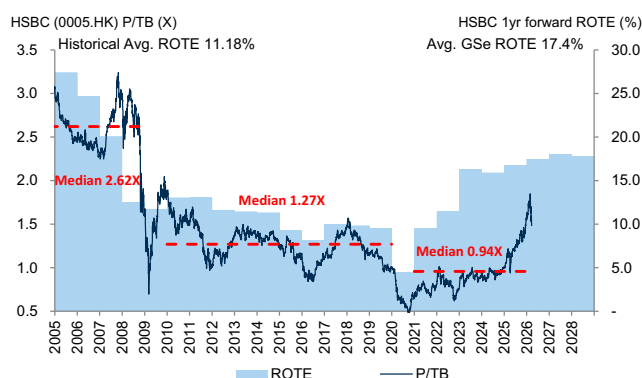
Our 12-month price target of HK\$162 is based on a two-stage DDM. Downside risks include: 1) Weaker-than-expected Banking NII, including faster-than-expected Fed rate cuts, or a widening gap between HIBOR and Fed rate; 2) Slower-than-expected non-NII growth, including a potential slow down in global trade or increased competition from

peers; 3) Reversal/pause of positive operating efficiency trajectory if simplification efforts are impacted adversely.

Key downside risks

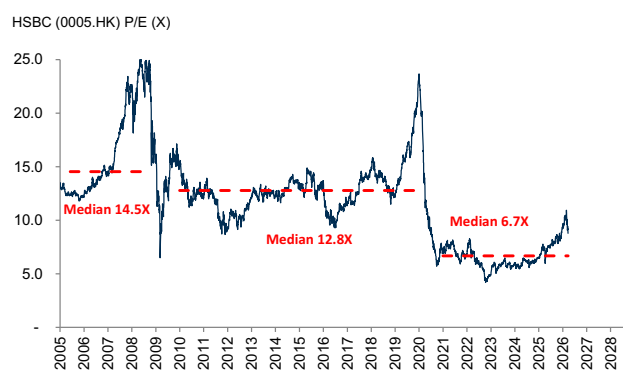
- Weaker than expected Banking NII, if the Fed cuts more than our expectations, or if the HIBOR gap to Fed rate widens, our NII assumptions would face downside risks. We also note risk on the longer end of the USD yield curve which a flattening or a parallel downward shift could result in lower reinvestment income as the hedges roll off.
- Slower-than-expected non-interest income growth which has been a strong driver of HSBC's growth in the recent years and a key driver to the delivery of its rising to 5% yoy underlying revenue growth target. CIB fees (48% of total non banking NII) is sensitive to FX market volatility, global trade volumes. If FX volatility remains low, or there is a slowdown in global trade, these could impact CIB fees. Additionally, WM makes up another 33% of total non banking NII which is another main driver of fee growth especially driven by Hong Kong benefiting from rising affluence in Asia and China wealth outflows, tighter mainland China capital controls or increased competition from international peers could potentially slow the growth of HSBC's WM income.
- Reversal/pause of positive jaws delivery should we see lower than expected simplification savings or a larger than expected investment in technology is needed in its modernisation and efficiency efforts which will lead to downside risks to our estimates.

Exhibit 19: HSBC (0005.HK) is currently trading at c.1.5X P/TB, more than 2SD above its 10-year median, supported by an improving ROTE outlook...



Source: Thomson Reuters Eikon, Company data, Goldman Sachs Global Investment Research

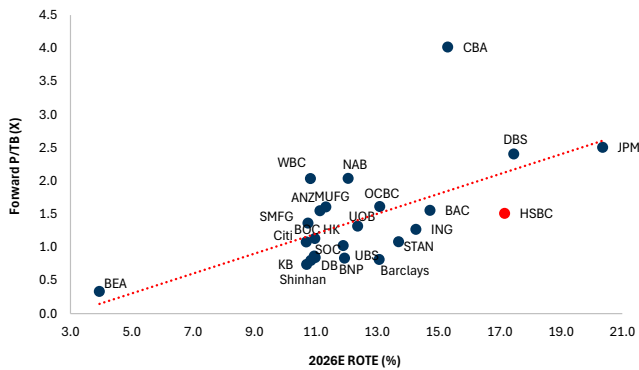
Exhibit 20: ...and it is trading at c.9X P/E which is slightly above its 10-year median



12M fwd P/E based on GSe

Source: Thomson Reuters Eikon, Company data, Goldman Sachs Global Investment Research

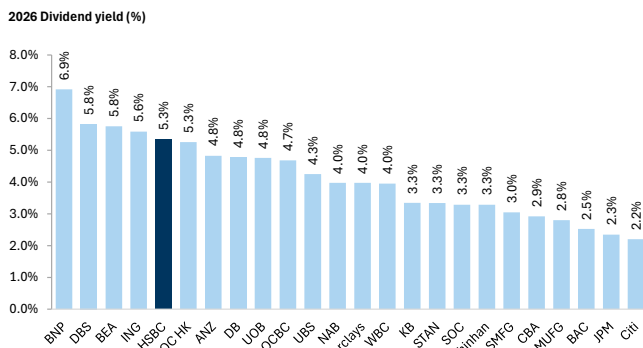
Exhibit 21: We see valuation as attractive compared to peers



HSBC P/TB is (0005.HK) and STAN P/TB is for (2888.HK)

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 23: HSBC (0005.HK) offers a 5.3% dividend yield...

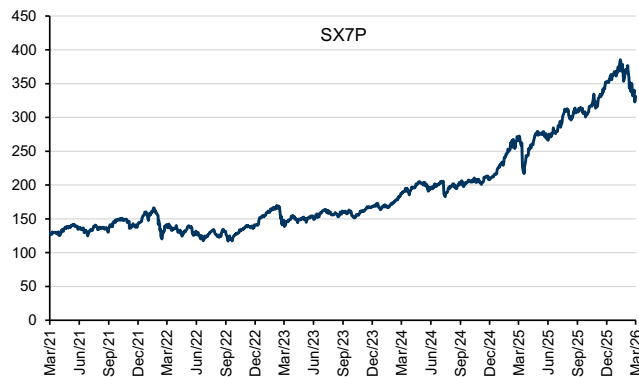


Priced as of 24 March 2026

Source: Company data, Goldman Sachs Global Investment Research

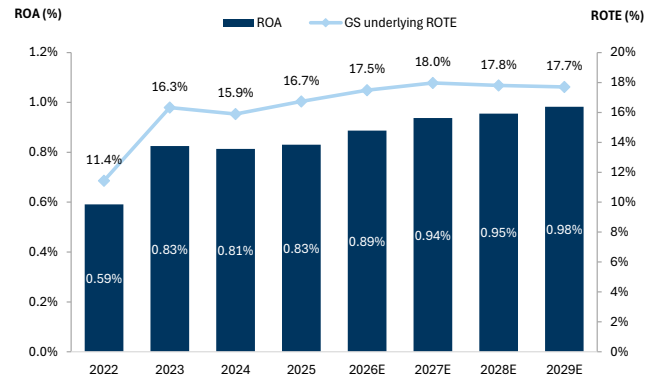
Exhibit 25: SX7P Price Index

Price Index rebased to 100, 5Y history



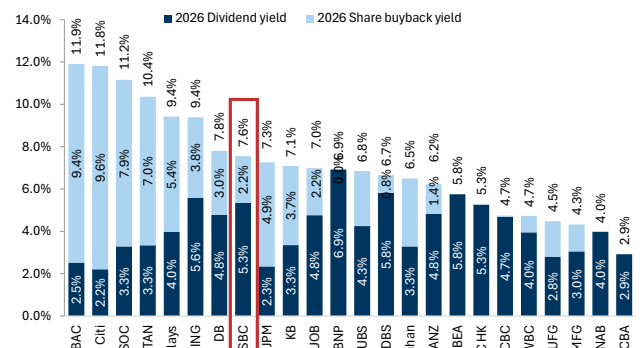
Source: LSEG Data & Analytics

Exhibit 22: We forecast ROTE to remain above 17% over 2026E-29E on the back of strong EPS CAGR



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 24: ...and 7.6% total shareholder return yield, which we see as decent compared with DM peers

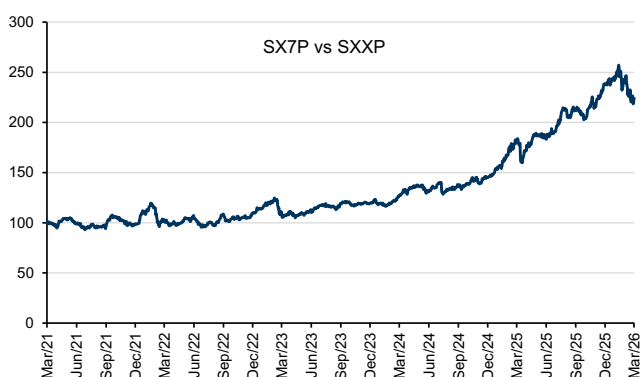


Priced as of 24 March 2026.

Source: Company data, Goldman Sachs Global Investment Research

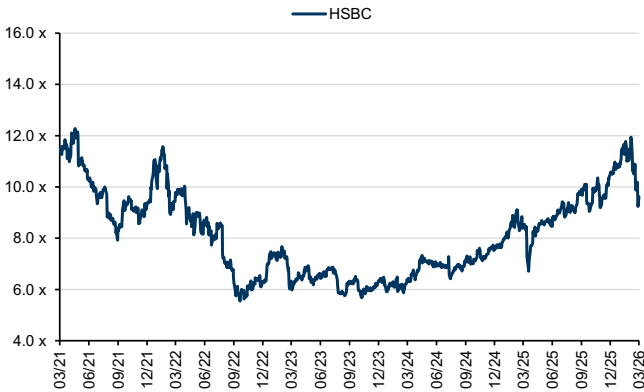
Exhibit 26: SX7E vs SXXP performance

Price Index rebased to 100, 5Y history



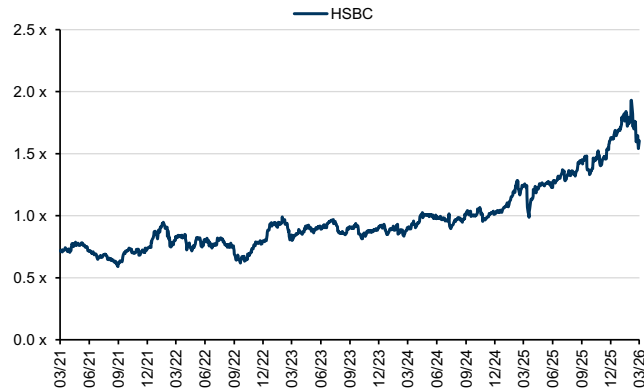
Source: LSEG Data & Analytics

Exhibit 27: HSBC (HSBA.L) forward P/E multiple
Consensus 12M fwd P/E - 5Y history



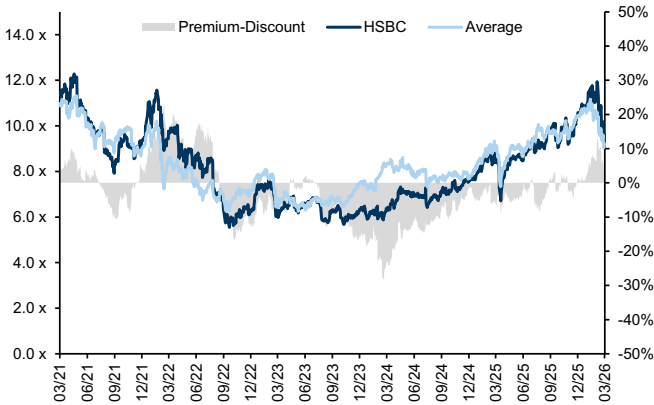
Source: LSEG Data & Analytics

Exhibit 28: HSBC (HSBA.L) forward P/TBV multiple
Consensus 12M fwd P/TBV - 5Y history



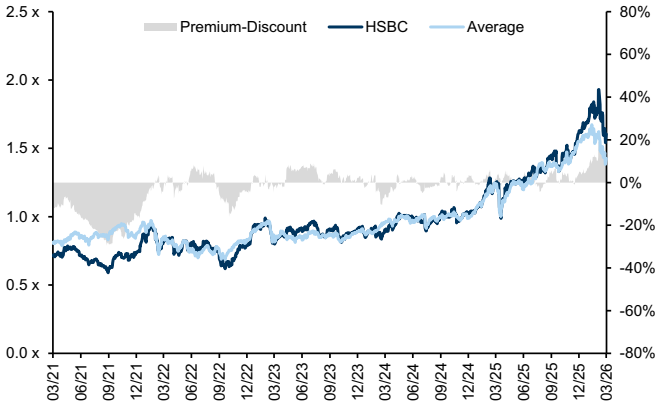
Source: LSEG Data & Analytics

Exhibit 29: HSBC (HSBA.L) forward P/E multiple vs Sector Average (GS European Banks coverage)
Consensus 12M fwd P/E (Left-axis), Premium/Discount (Right-axis) - 5Y history



Source: LSEG Data & Analytics

Exhibit 30: HSBC (HSBA.L) forward P/TBV multiple vs Sector Average (GS European Banks coverage)
Consensus 12M fwd P/TBV (Left-axis), Premium/Discount (Right-axis) - 5Y history



Source: LSEG Data & Analytics

Exhibit 31: Estimate changes

(US\$m)	FY2026E		FY2027E		FY2028E		FY2029E		% change			
	Old	New	Old	New	Old	New	Old	New	2026E	2027E	2028E	2029E
Group - Underlying basis												
Banking NII	43,674	46,364	44,661	47,787	46,052	48,838	47,961	50,483	6.2	7.0	6.0	5.3
Non-banking NII	28,381	28,635	30,193	30,573	31,961	32,535	33,801	34,421	0.9	1.3	1.8	0.0
Revenue	72,055	74,999	74,854	78,360	78,013	81,373	81,761	84,904	4.1	4.7	4.3	3.8
Operating expenses	-34,302	-33,783	-35,275	-34,720	-36,291	-35,695	-37,337	-36,698	-1.5	-1.6	-1.6	-1.7
PPOP	37,753	41,216	39,579	43,640	41,722	45,678	44,425	48,206	9.2	10.3	9.5	8.5
Provision	-3,864	-4,253	-3,686	-3,710	-3,564	-3,659	-3,727	-3,698	10.1	0.7	2.7	-0.8
Operating profit	33,889	36,963	35,893	39,930	38,158	42,019	40,698	44,508	9.1	11.2	10.1	9.4
Pretax profits	36,699	39,891	38,759	42,916	41,082	45,065	43,680	47,615	8.7	10.7	9.7	9.0
Group - Reported basis												
Revenue	71,755	74,399	74,854	78,360	78,013	81,373	81,761	84,904	4	5	4	4
Operating expenses	-34,902	-34,233	-35,275	-35,020	-36,291	-35,845	-37,337	-36,698	-2	-1	-1	-2
PPOP	36,853	40,166	39,579	43,340	41,722	45,528	44,425	48,206	9	10	9	9
Provision	-3,864	-4,253	-3,686	-3,710	-3,564	-3,659	-3,727	-3,698	10	1	3	-1
credit costs (bp)	38	41	35	35	32	33	32	32				
Operating profit	32,989	35,913	35,893	39,630	38,158	41,869	40,698	44,508	9	10	10	9
Pretax profits	35,799	38,841	38,759	42,616	41,082	44,915	43,680	47,615	8	10	9	9
Attributable profit	26,941	28,612	29,275	31,527	31,106	33,300	33,153	35,383	6	8	7	7
Stated EPS (US\$)	1.57	1.67	1.72	1.86	1.85	1.99	1.99	2.14	7	8	7	7
Underlying EPS (US\$)	1.59	1.70	1.72	1.87	1.85	2.00	1.99	2.14	7.0	8.7	7.8	7.4
DPS (US\$)	0.79	0.85	0.86	0.94	0.93	1.00	1.00	1.28	8	9	8	29

Source: Goldman Sachs Global Investment Research

Exhibit 32: GSe vs Consensus

HSBC	2026E				2027E				2028E			
	GS	VA	%	mn	GS	VA	%	mn	GS	VA	%	mn
Banking Nil	46,364	45,596	2%	768	47,787	46,602	3%	1,186	48,838	48,073	2%	765
Fees and Other Income	28,635	28,216	1%	419	30,573	29,951	2%	621	32,535	31,951	2%	584
Underlying Revenues	74,999	73,812	2%	1,187	78,360	76,553	2%	1,807	81,373	80,024	2%	1,349
Significant Revenue Adjustments	-600	-820	-27%	220	0	-311	-100%	311	0	-194	-100%	194
Total Revenues	74,399	72,992	2%	1,407	78,360	76,242	3%	2,118	81,373	79,830	2%	1,543
Underlying Operating Expenses	-33,783	-33,854	0%	70	-34,720	-34,656	0%	-64	-35,695	-35,597	0%	-98
Significant Cost Adjustments	-450	-882	-49%	432	-300	-549	-45%	249	-150	-540	-72%	390
Total Operating Expenses	-34,233	-34,735	-1%	502	-35,020	-35,206	-1%	186	-35,845	-36,137	-1%	291
Credit Costs	-4,253	-4,033	5%	-220	-3,710	-4,017	-8%	307	-3,659	-4,117	-11%	458
Operating Profit - Reported	35,913	34,224	5%	1,689	39,630	37,019	7%	2,611	41,869	39,576	6%	2,293
Operating Profit - Underlying	36,963	35,925	3%	1,038	39,930	37,879	5%	2,051	42,019	40,310	4%	1,709
P/L from Associates and JV	2,928	2,383	23%	545	2,986	2,653	13%	333	3,046	2,709	12%	337
PBT - Reported	38,841	36,606	6%	2,234	42,616	39,672	7%	2,944	44,915	42,285	6%	2,630
PBT - Underlying	39,891	38,308	4%	1,583	42,916	40,532	6%	2,384	45,065	43,019	5%	2,046
Income Taxes	-8,800	-7,822	12%	-978	-9,656	-8,435	14%	-1,221	-10,176	-8,988	13%	-1,189
PAT - Reported	30,041	28,784	4%	1,257	32,961	31,238	6%	1,723	34,739	33,298	4%	1,441
Minorities	-246	-151	63%	-95	-251	-105	139%	-146	-256	-109	135%	-147
Net Income - Reported	29,795	28,633	4%	1,162	32,710	31,133	5%	1,577	34,483	33,189	4%	1,294
Preferred Stock	-1,183	-1,176	1%	-7	-1,183	-1,188	0%	5	-1,183	-1,201	-1%	18
Ordinary Net Income - Reported	28,612	27,457	4%	1,154	31,527	29,945	5%	1,582	33,300	31,988	4%	1,312
Per Share Data												
EPS - Basic	1.67	1.63	3%	0.04	1.86	1.82	2%	0.04	1.99	2.00	-1%	-0.02
DPS - Declared	0.85	0.83	3%	0.02	0.94	0.91	3%	0.03	1.00	1.00	0%	0.00
Capital (bn)												
CET1 Capital	130	132	-1%	-2	140	138	2%	2	151	144	5%	7
RWAs	924	913	1%	11	965	944	2%	20	1,004	976	3%	28
CET1 Ratio	14.1%	14.5%	-34 bps	-	14.5%	14.6%	-5 bps	-	15.0%	14.7%	28 bps	-
Balance Sheet (bn)												
Total Assets	3,327	3,313	0%	13	3,450	3,403	1%	47	3,549	3,502	1%	48
Total Equity	205	202	2%	3	215	209	3%	6	227	217	4%	10
Tangible Equity	172	167	3%	4	182	173	5%	8	193	180	8%	14
Loans	1,026	1,017	1%	8	1,072	1,051	2%	21	1,115	1,088	3%	28
Deposits	1,881	1,837	2%	45	1,995	1,903	5%	91	2,082	1,968	6%	114
Ratios												
Net-Interest Margin	4.60%	4.55%	6 bps	-	4.56%	4.51%	5 bps	-	4.47%	4.50%	-3 bps	-
CIR - Reported	46%	48%	-1.6 pp	-	45%	46%	-1.5 pp	-	44%	45%	-1.2 pp	-
CIR - Underlying	45%	46%	-0.8 pp	-	44%	45%	-1.0 pp	-	44%	44%	-0.6 pp	-
Cost of Risk	42 bps	40 bps	2 bps	-	35 bps	39 bps	-3 bps	-	33 bps	38 bps	-5 bps	-
Effective Tax Rate - Reported	23%	21%	1.3 pp	-	23%	21%	1.4 pp	-	23%	21%	1.4 pp	-
ROTE (post AT1)	17.0%	16.5%	0.5 pp	-	17.8%	17.6%	0.3 pp	-	17.7%	18.1%	-0.4 pp	-
Loans / Deposits	55%	55%	-0.9 pp	-	54%	55%	-1.5 pp	-	54%	55%	-1.7 pp	-

Source: Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

We are **Buy** rated on **HSBC (HSBC.L/ 0005.HK)** with **12-month price targets of 1,675p/ HK\$162**, as we see the Group **sustaining a stronger earnings and returns phase** that is yet to be fully reflected in valuation. We forecast a **~10% GS EPS CAGR over 2025–28E**, with **RoTE set to rise from 17% in 2025 towards c.18% by 2028**, consistent with management's **three-year forward guidance of c.5% y/y revenue growth and >17% RoTE**, supporting further re-rating. This is driven by (i) **Banking NII inflection** as deposit-led balance sheet growth, higher yielding structural hedge reinvestment and recovering loan growth re-emerge, with NII contributing **~40% of revenue growth** over the next three years; (ii) **Wealth as a structural growth and returns lever in Asia**, supported by strong NNM, a **US\$7–10trn China wealth TAM**, and **capital-light robust wealth ROE**; and (iii) **Improving efficiency**, with ~1% cost growth in 2026 and **AI-driven upside**.

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Disclosure Appendix

Reg AC

We, Chris Hallam, Melissa Kuang, CFA, Benjamin Caven-Roberts, Sachin Nayar, Eraldo Bausano and Wayne Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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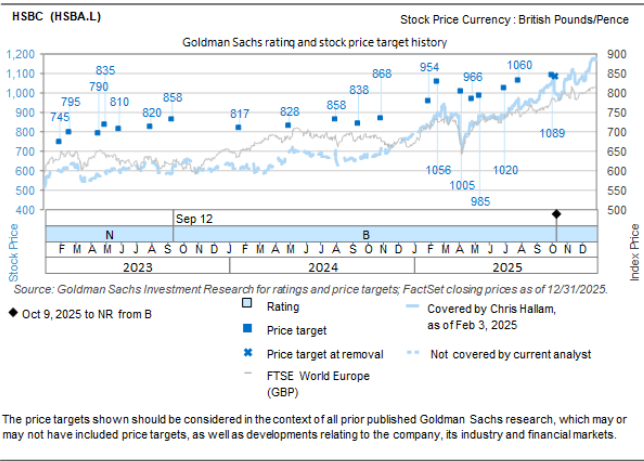
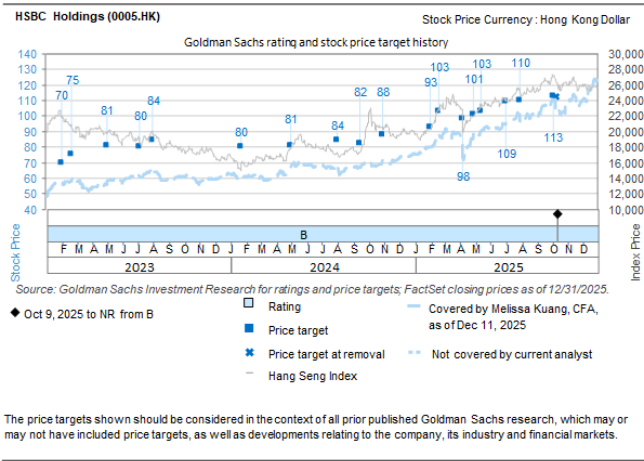
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Price target and rating history chart(s)



Target price history table(s)

HSBC (HSBA.L)

Date of report	Target price (£)	Closing price (£)
03-Oct-25	1,089	1,061.8
30-Jul-25	1,060	926
02-Jul-25	1,020	885.3
13-May-25	985	876.1
29-Apr-25	966	855.6
07-Apr-25	1,005	737.8
19-Feb-25	1,056	895.4
02-Feb-25	954	845.7
29-Oct-24	868	713.7
14-Sep-24	838	658.7
31-Jul-24	858	704
30-Apr-24	828	695.6
23-Jan-24	817	598.8
12-Sep-23	858	597.3
01-Aug-23	820	654.9
30-May-23	810	600.1
02-May-23	835	593.9
19-Apr-23	790	573.4

HSBC Holdings (0005.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
03-Oct-25	113.00	109.90
30-Jul-25	110.00	96.95
02-Jul-25	109.00	95.25
13-May-25	103.00	89.65
29-Apr-25	101.00	88.35
07-Apr-25	98.00	73.40
19-Feb-25	103.00	88.40
02-Feb-25	93.00	79.95
29-Oct-24	88.00	71.60
14-Sep-24	82.00	67.30
31-Jul-24	84.00	69.95
30-Apr-24	81.00	67.00
23-Jan-24	80.00	59.20
01-Aug-23	84.00	66.30
06-Jul-23	80.00	61.00
02-May-23	81.00	58.65

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